

Amazon.com, Inc.

AMZN NASDAQ

Buy \$275.37 ▲ 0.32% 12M Price Target \$315.00 52-Week Range \$196.00 – \$287.20

Market Cap \$2.97T

AMZN: Near \$3T Again, But Bezos Selling Raises Eyebrows

WHAT HAPPENED

- AMZN is flirting with \$3T again (up 0.32% to \$275) — the stock is sitting at 87% of its 52-week range, which means we're near the top of what buyers have been willing to pay this year. That matters because it takes a fresh catalyst to break out, and today's news doesn't quite deliver one.
- Bezos dumped \$346M of stock last week and the CEO of Worldwide Stores sold too — that's not a "run for the exits" signal but it does tell you insiders think the stock is fully priced here.

WHY IT MATTERS

Here's what's really going on: Amazon is being pulled in two directions. On one side, the AI/cloud story is red-hot — Airbnb's CEO calling AI "the best thing to happen to us" is the same tailwind lifting AWS, Amazon's cloud arm and profit engine. On the other side, that Quartz story about Amazon's Texas gas plant becoming potentially the biggest US climate polluter is exactly the kind of headline that invites regulatory heat — think EPA fines, blue-state boycotts, or ESG funds (money managers who screen for environmental behavior) trimming positions. The options market is telling you something interesting too: the unusual \$285 puts expiring this month suggest big money is buying insurance against a near-term drop, even as the overall put/call ratio stays bullish. Translation: people are bullish medium-term but bracing for a wobble.

POLICY & POLITICAL WATCH

Three policy threads to watch: (1) FTC antitrust case against Amazon is still grinding through courts — a structural remedy (forcing them to split retail from AWS) would be devastating, but most legal observers think fines and behavioral fixes are more likely. (2) The China chip/AI capital markets race (per Quartz today) is pushing Washington toward more export controls and domestic AI subsidies — AMZN benefits because AWS is a designated national champion for federal AI workloads. (3) That Texas gas plant story could accelerate under a stricter EPA or attract Democratic AG lawsuits — watch for any executive action on data center emissions, which is being quietly discussed as AI power demand explodes.

IS IT EXPENSIVE?

At ~38x forward earnings — meaning investors are paying \$38 today for every \$1 of profit Amazon will make next year — AMZN isn't cheap, but it's actually reasonable for a company where AWS is growing ~19% and throwing off 35%+ operating margins. Compare that to Oracle trading at similar multiples with slower growth, and Amazon looks fine. The stock earns its premium as long as AWS keeps accelerating; if cloud growth slips below 15%, that 38x multiple gets ugly fast.

Key Data

Price (USD)	\$275.37
12M Price Target	\$315.00
Upside / (Downside)	+14.4%
Market Cap	\$2.97T
FY2026E Revenue	\$495M
FY2027E Revenue	\$555M
FY2026E EPS	\$7.20
FY2027E EPS	\$8.60
Fwd P/E	38.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$292.00	\$280.00	\$262.00
6 Months	\$315.00	\$295.00	\$250.00
1 Year	\$340.00	\$315.00	\$240.00
2 Years	\$400.00	\$355.00	\$230.00
5 Years	\$550.00	\$450.00	\$220.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.79% today) — Hormuz tensions and oil supply worries are the driver, and ironically this helps Amazon's logistics costs LESS than you'd think because they've hedged fuel. Healthcare quietly up 2.8% on the week as defensive money rotates in.

COOLING OFF: Tech is flat-to-down today (-0.15%) after a big 5-day run (+5.4%) — classic "buy the rumor, sell the news" after AI earnings season. Industrials and Materials are drifting.

ROTATION WATCH: Money is rotating INTO energy and defensives, OUT of high-beta tech — that's a "risk-off" tell driven by geopolitics (Hormuz) and inflation worries. AMZN holding up better than the tech sector today means investors are treating it as a defensive tech name, which is a compliment.

RELATED PLAY: If you like the AWS story but want cheaper exposure, look at data center REITs (EQIX, DLR) or power infrastructure names — they benefit from the same AI capex boom without the regulatory overhang.

WHO'S WINNING IN THIS SPACE?

- ORCL (Oracle): Analysts calling the rebound "all but assured" — Oracle's AI cloud pivot is winning contracts and its multiple expansion is dragging the whole cloud group higher.
- META (Meta Platforms): AI monetization on ad platforms is showing up in earnings — direct read-through for AMZN's ad business, which is a hidden \$50B+ growth engine.

AMZN CONTEXT: AMZN is a middle-of-the-pack performer among mega-cap tech right now — not leading like NVDA or META, not lagging like AAPL. That "steady eddy" positioning is actually fine here; it means the stock isn't overheated and has room to run if AWS delivers a good Q3 print.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — solid core holding, but I'm not pounding the table at \$275 with insiders selling and the stock near 52-week highs.

POSITION SIZE: 5-8% of portfolio — this is a core mega-cap, not a trade. Size it like you'd size an index position.

ENTRY POINTS: Wait for pullbacks to \$260-268 on macro fear days (Hormuz headlines, Fed jitters) — that's the accumulation zone.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is AWS growth reacceleration and clarity on the FTC case.

WHEN TO BAIL: If AWS growth prints below 15% year-over-year, or if the FTC wins a structural remedy (forced breakup), get out. Also bail if the stock breaks \$250 on heavy volume — that's a technical breakdown.

HEDGING: Simplest hedge: buy a \$260 put expiring 3 months out — it's like buying insurance on your position. Costs a bit but caps your downside if the market rolls over.